THE THOROUGHBRED GROUP

Commercial Partnerships Proposal - Summary

Spring 2026

Introduction

History

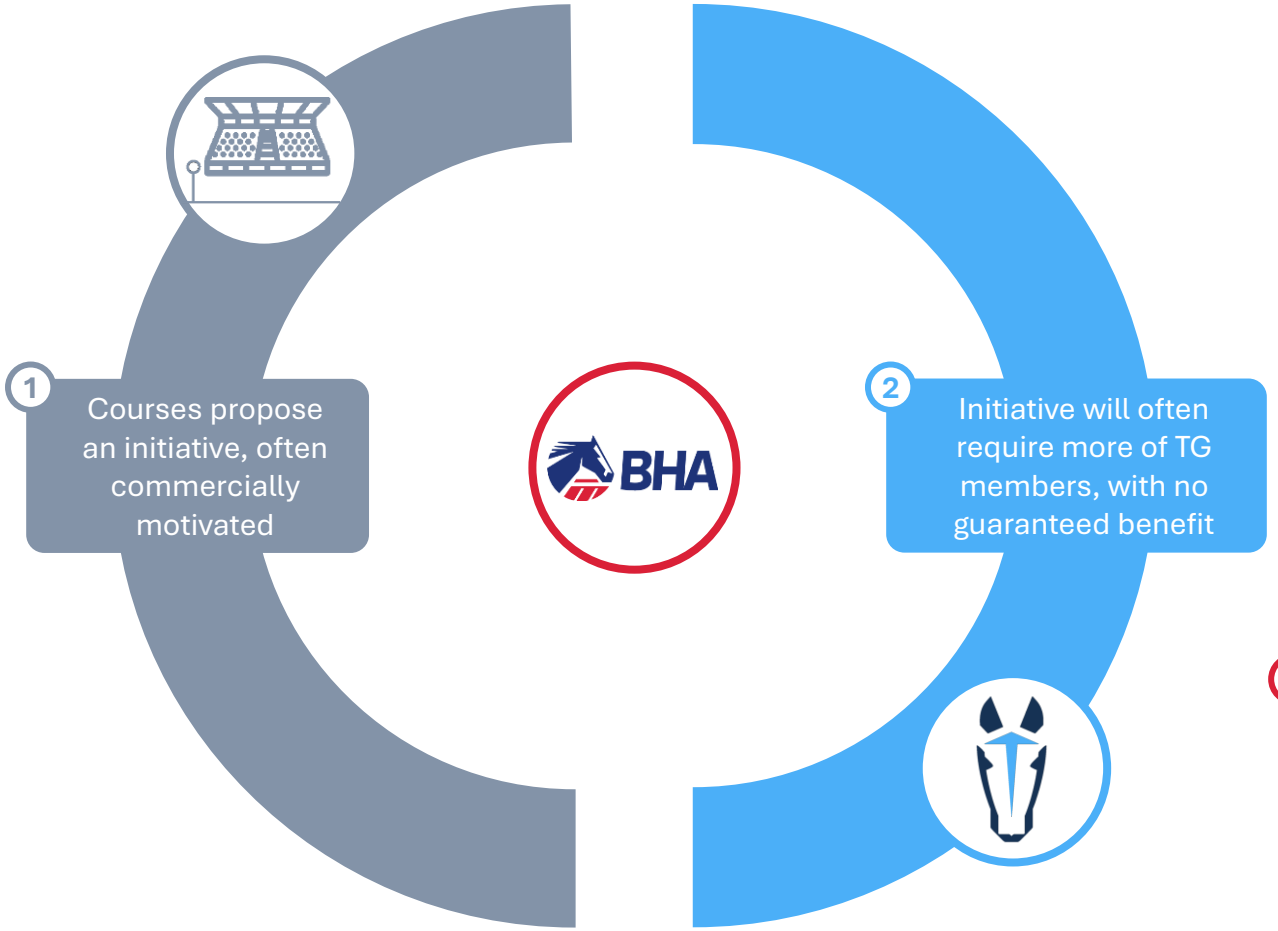
Formalised agreements defining minimum levels of prize money investment from racecourses were last established in 2013, and were signed by all but a handful of venues. These agreements saw racecourses commit to investing 33% of their media rights income as Executive Contribution to prize money, which was then recognised in selected areas of fixture policy. Premier Prize Money Agreements offered a number of enhanced benefits to courses who invested a minimum of 40% of their media rights income back into prize money. The impact of the pandemic on racecourse revenue streams meant that these agreements fell away in 2020.

Today's landscape

The Thoroughbred Group believes that the re-establishment of agreements is in the best interests of the sport, and represents the only way of guaranteeing a genuinely collaborative approach to the growth of British horseracing. This document sets out why new agreements, termed Commercial Partnerships, are so important for British horseracing. It also illustrates how Thoroughbred Group members would see the partnerships structured, and how racecourses would be recognised for their relative levels of investment into prize money.

The Thoroughbred Group welcomes questions and discussion on the proposal and its mechanics. For all enquiries, please contact Jack Connor via jconnor@thoroughbredgroup.org.

The lack of Commercial Partnerships is paralysing the industry

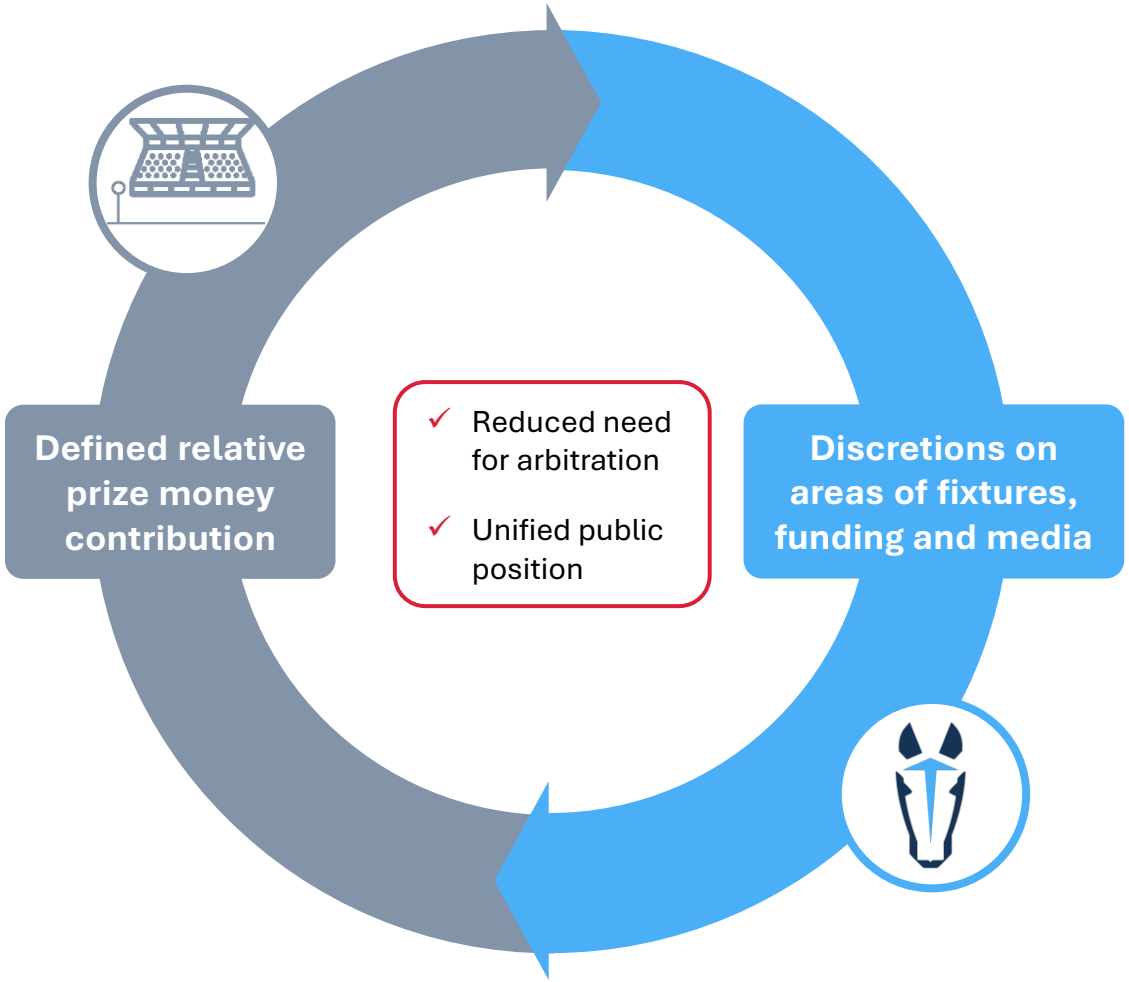


3 The BHA is left having to make a difficult decision, and risks satisfying neither set of stakeholders

The initiatives in question have the potential to be mutually beneficial, but no mechanism exists to ensure that any upside is shared across the industry

The sport would benefit from a mechanism that ensures commercial upsides are shared fairly

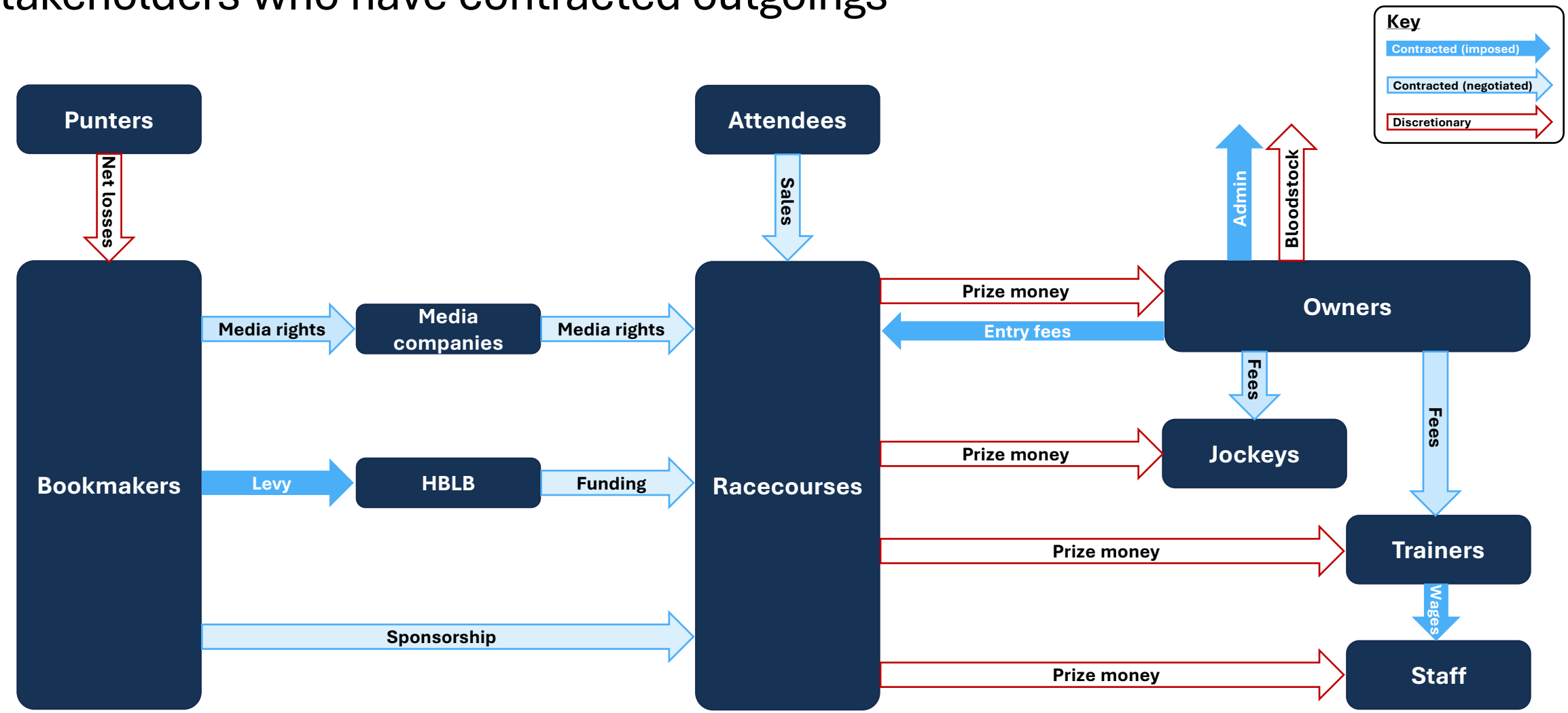
- ✓ Ability to unlock commercially powerful initiatives
- ✓ Flexibility of investment



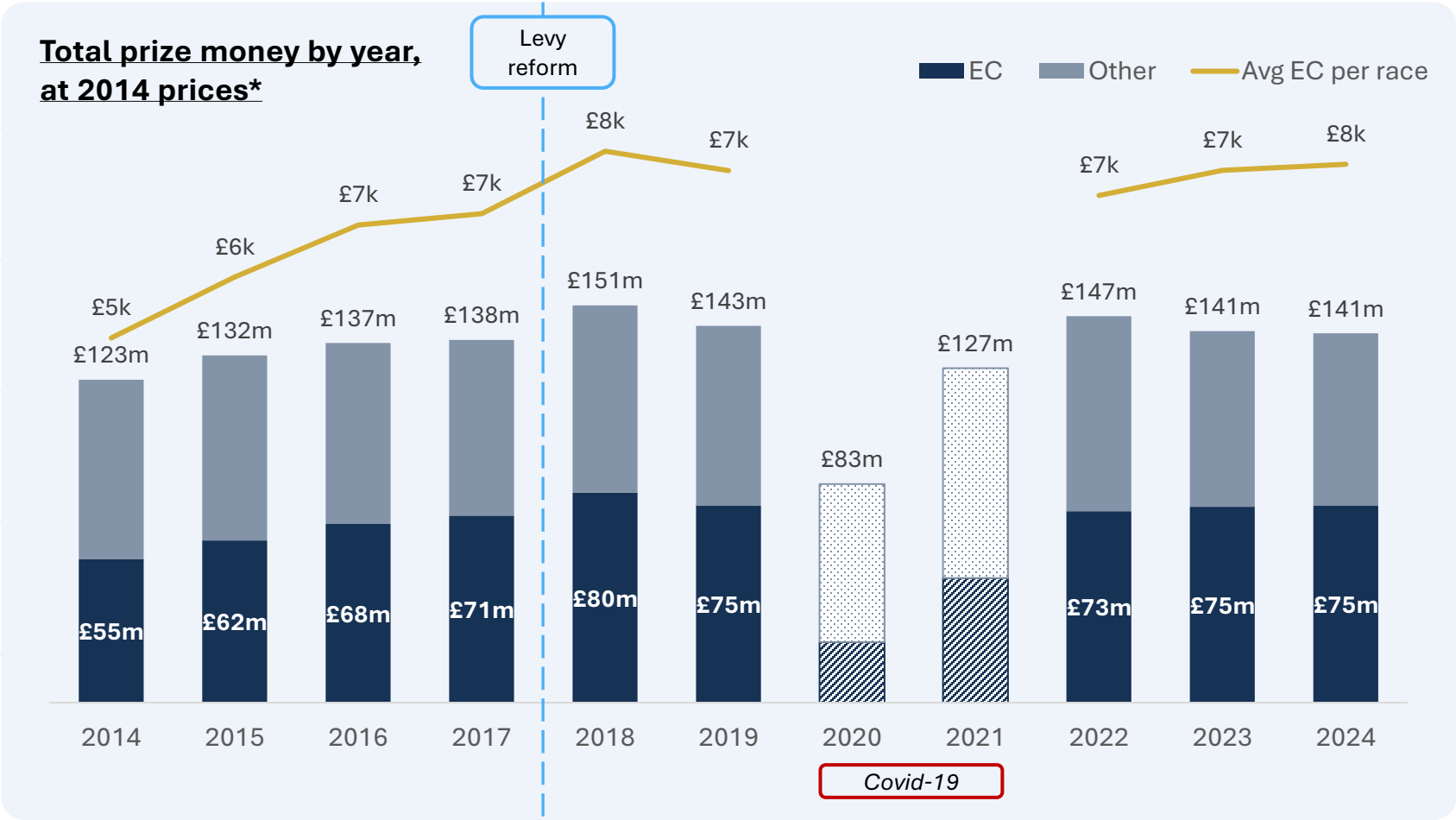
- ✓ Reduced need for arbitration
- ✓ Unified public position

- ✓ Comfort that upside will be shared
- ✓ Introduces greater degree of competition between racecourses

Discretionary revenue flows undermine trust amongst stakeholders who have contracted outgoings



Commercial Partnerships can facilitate a real-terms increase in prize money



In real terms, total 2024 prize money was the lowest seen since the Levy was reformed to capture remote gross win in 2017, and only 2% higher than that pre-reform level.

Executive Contribution (EC) has also fallen in real terms from its peak in 2018.

Average EC per race remains almost unchanged in real terms since 2016. This is despite there having been a number of changes made to fixture policy with the aim of increasing betting turnover and associated media rights income.

* Source: ONS CPI Index

Taking a hybrid approach to measurement can account for margin differentials across racecourse business models

Deal structure	% of media income	x% of media, plus y% of non-media see p7	% of all racing income	% of racing profit
Pros	✓ Relatively simple ✓ Historic precedent	✓ Accounts for all income streams ✓ Reflects margin differentials across income lines ✓ Promotes efficiency ✓ Relatively simple, with some precedent	✓ Accounts for all income streams ✓ Promotes efficiency	✓ Relatively simple
Cons	× Punitive for courses at which media income is relatively large	×	× Punitive for courses at which lower margin income is relatively large	× Open to manipulation × Doesn't incentivise efficiency × Prize money remains the balancing item

TG proposal

The Executive Contribution Index (ECX) measures prize money investment versus a fair baseline

ECX = **Actual Executive Contribution** / **Baseline Executive Contribution**

Baseline Executive Contribution calculation:

- **Media rights income** — **25%**
- \+
- **Other racing income*** — **15%**

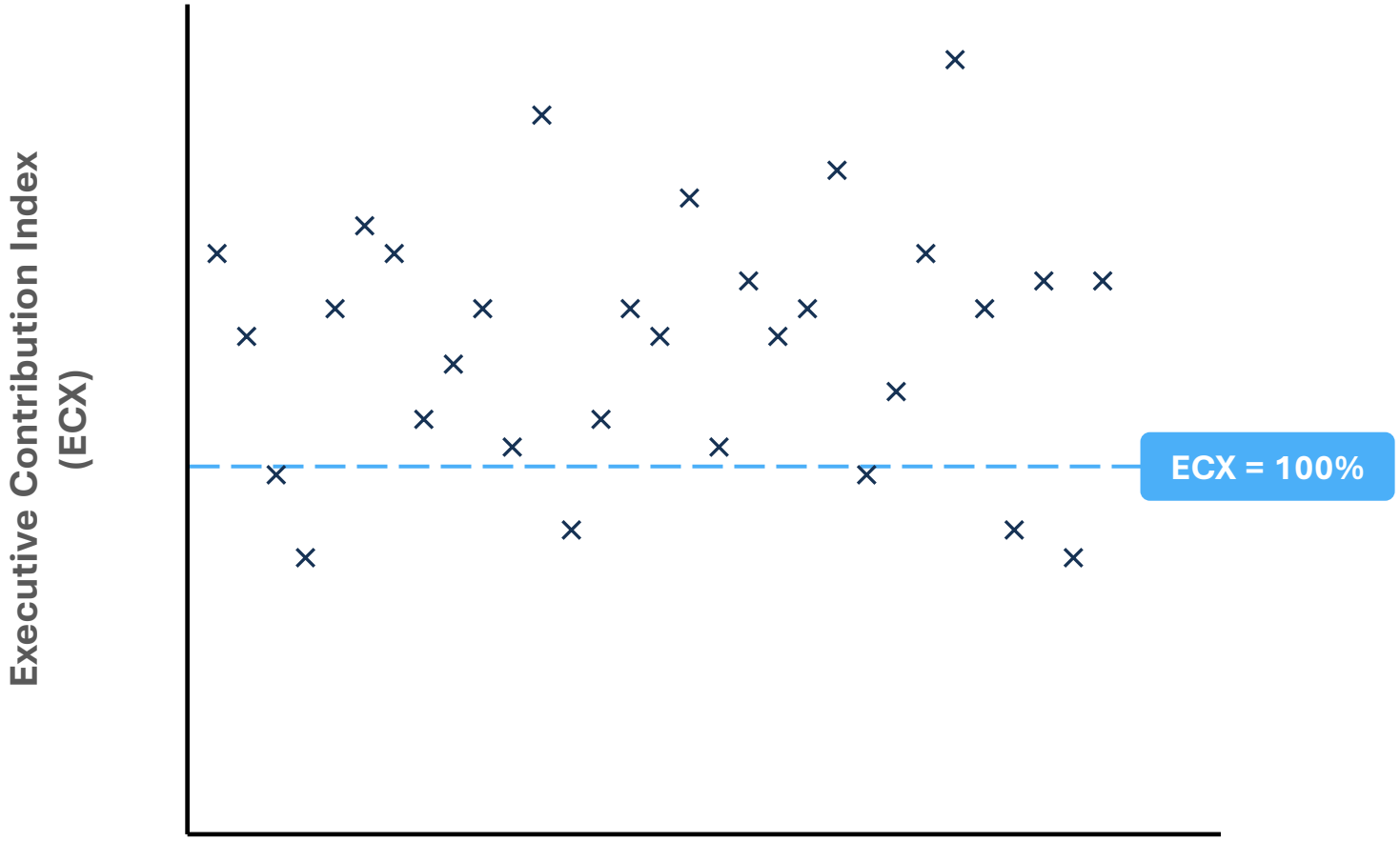
Each racecourse or group will have their actual Executive Contribution benchmarked against a baseline level of EC that the industry considers fair. The ratio of the two creates an Executive Contribution Index (ECX).

The baseline level of Executive Contribution is calculated by taking 25% of a course's media rights income and adding 15% of the course's other racing income. The differential in rates reflects the fact that media income typically has a higher margin than other raceday income.

An ECX of 100% would represent a course that is investing into prize money an amount that has been agreed fair.

** Net of any catering costs, in order to standardise across different business models; non-media income could be tapered based on average per fixture across course/group*

Courses with an index of 100% or more will be granted access to initiatives



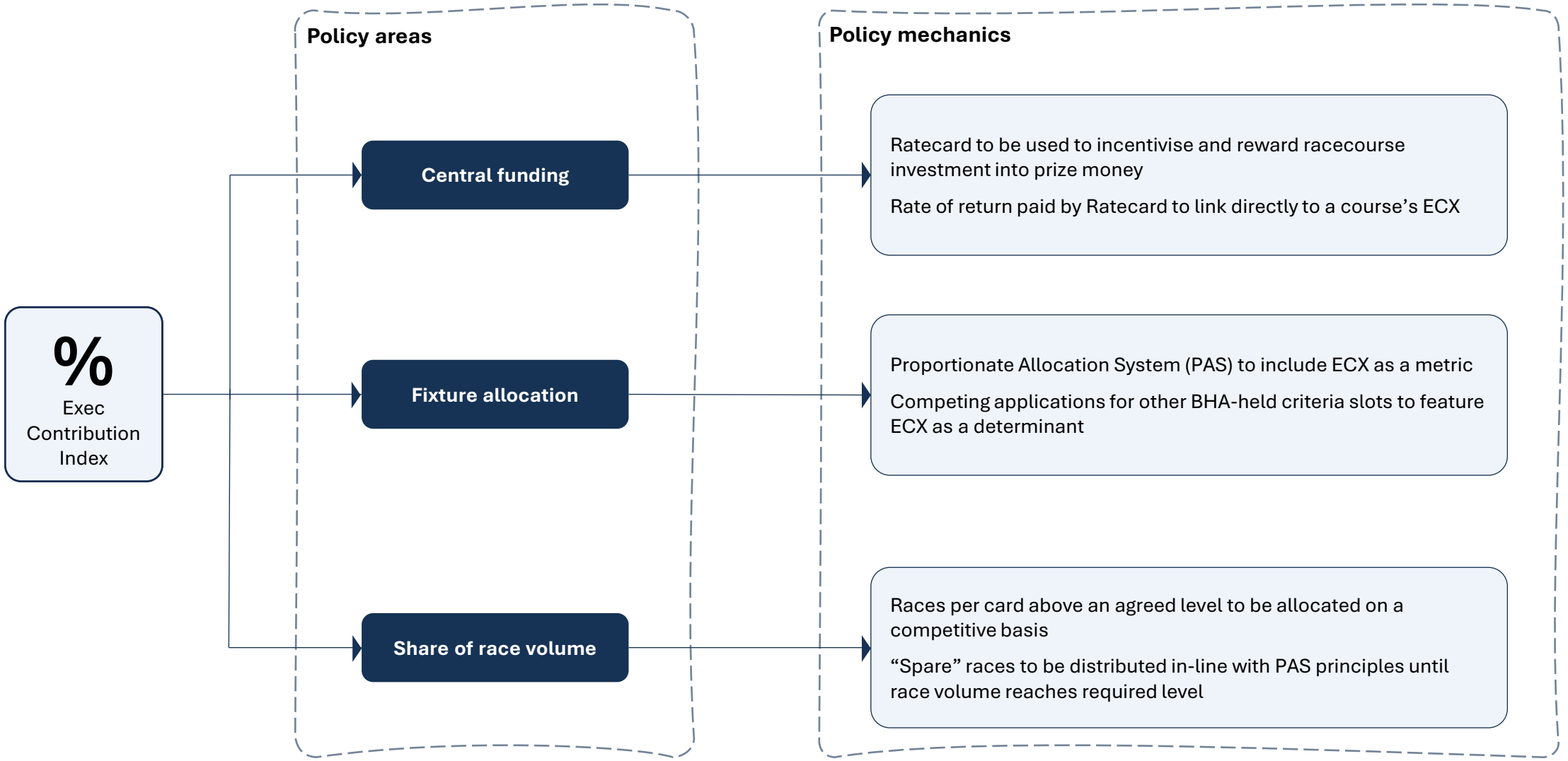
n.b. JCR + ARC treated as groups
Illustrative data

Initially, each racecourse will have its Executive Contribution Index (ECX) independently audited. Future years could feature auditing across a random subset of courses.

A racecourse's ECX will feed directly into several policy areas, outlined on the following page.

Achieving an ECX of at least 100% will be a prerequisite in a racecourse accessing various other initiatives.

ECX becomes a key determinant in a number of policy areas



There are five areas of the industry that should be defined by Commercial Partnerships

The allocation of central funding should be made more meritocratic, rewarding courses for their relative investment levels.

Key to this is the Ratecard, which allocates c.£60m in central funding per annum. The Ratecard can be reworked so that payments are directly linked to a racecourse's Executive Contribution Index.

The allocation of BHA Fixtures and additional fixtures should take greater account of a racecourse's investment relative to its peers.

Racecourses who are investing in their race programmes can be prioritised in discussions and trials of new initiatives.

Discretions around race volume and selected race conditions should depend on a racecourse's contribution.

Participants can also be signposted towards the race programmes of those courses that demonstrate higher levels of relative investment.

Participants can recognise and support racecourses who adhere to Thoroughbred Group principles.

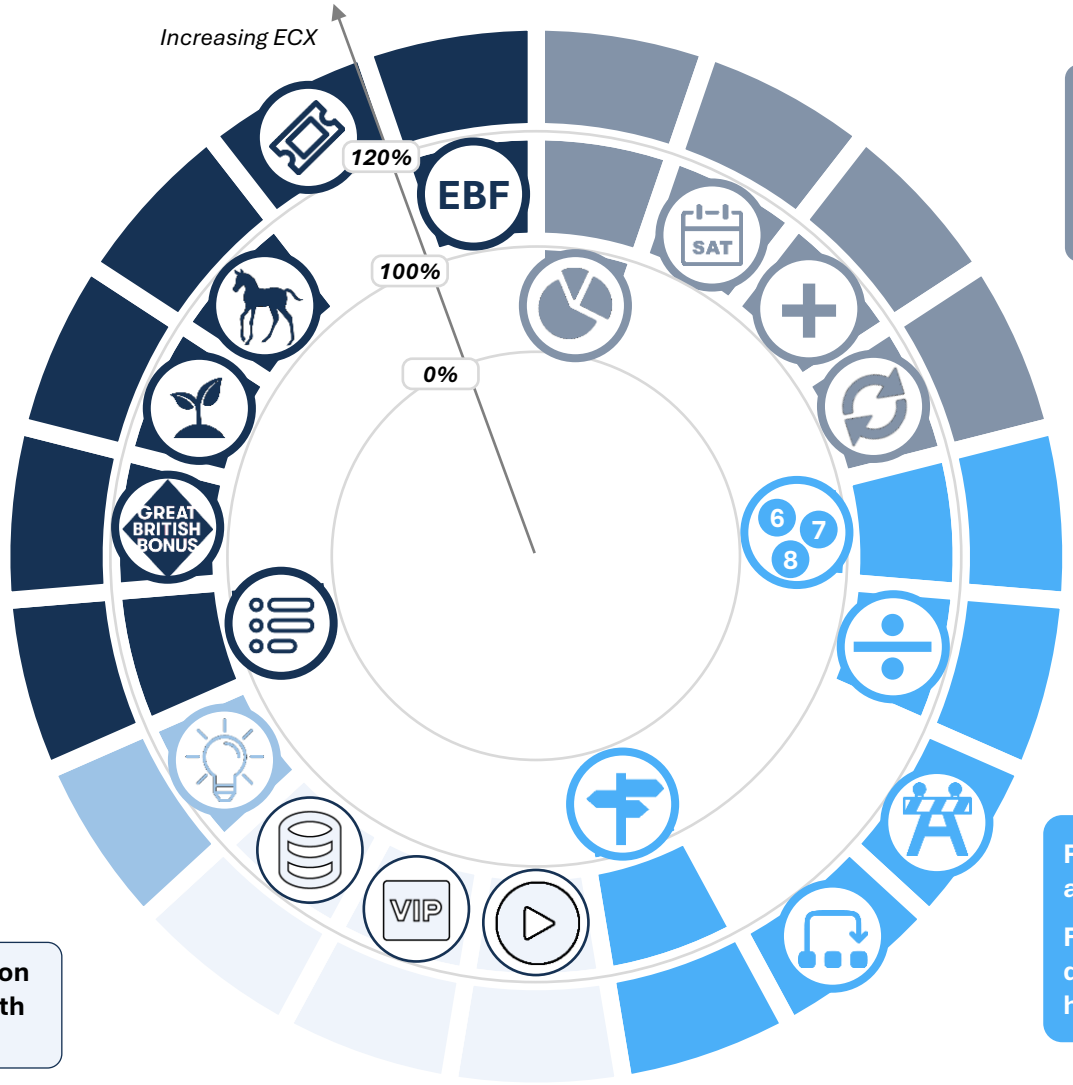
Almost all initiatives will be available to courses with an ECX of 100%

Ratecard funding remains available to all courses

Discretion on entry fees above standard 0.5% requires course to have an ECX of at least 120%

The trialling of new initiatives could be discussed with courses who invest a fair level of prize money

Premium access and data provision would be available for courses with an ECX of at least 100%



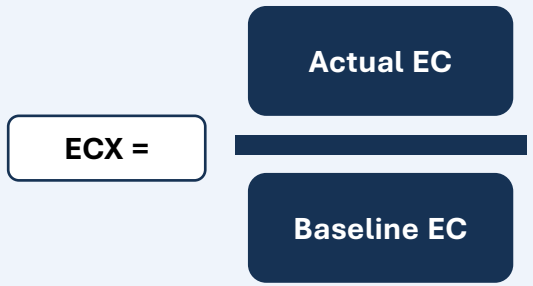
All racecourses will be eligible to apply for BHA PAS Fixtures

Other fixture discretions would require an ECX of at least 100%

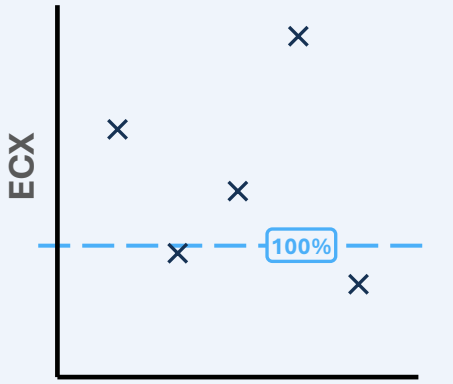
Race volume rules would continue to apply across all courses

Field size limits, and reordering of races after declaration stage would require a course to have an ECX of at least 120%

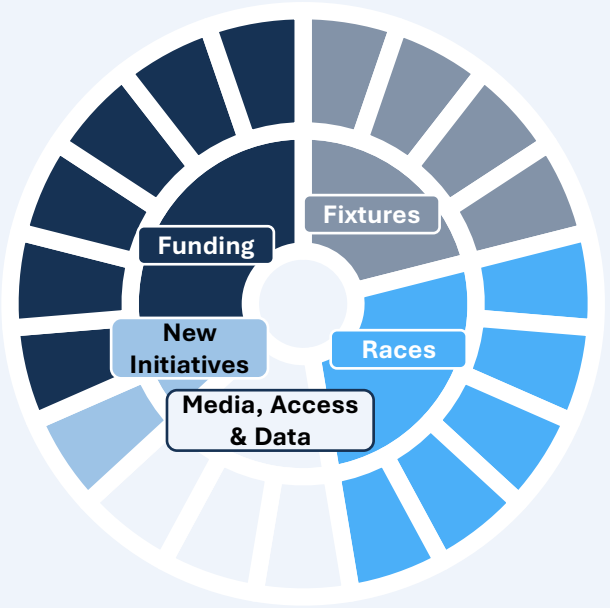
Commercial Partnerships can unlock collaborative growth



Executive Contribution Index (ECX) calculated by comparing actual EC to the sum implied by taking 25% of media revenues and 15% of non-media



An ECX of 100% represents a racecourse that is investing a proportion of revenues into prize money that has been agreed fair



Racecourse ECX feeds directly into policy areas, and clearing the 100% threshold determines access to further initiatives

Commercial Partnerships can align the incentives of all stakeholders, uniting the sport and enabling collaborative growth